

Fengzhi Zhu

Updated October 18, 2021

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Research interests	Financial Reporting, Textual Analysis, Conservatism, Corporate Governance	
Education	Universidad Carlos III de Madrid	Madrid, Spain
	Ph.D. Candidate in Accounting	Sep 2019 – Present
	Supervisors: Juan Manuel García Lara, Beatriz García Osma	
	Universidad Carlos III de Madrid	Madrid, Spain
	Research Master in Business and Finance	Sep 2017 – July 2019
	Supervisor: Beatriz García Osma	
	GPA: 8.03/10	
	University of Wisconsin Madison	Madison, Wisconsin U.S.
	Exchange Program	Sep 2015 – May 2016
	GPA: 3.5/4.0	
	Universidad Carlos III de Madrid	Madrid, Spain
	Bachelor of Finance and Accounting	Sep 2013 – July 2017
	GPA: 8.17/10	
Conferences and Workshops	2021 Canadian Academic Accounting Association Annual Conference	
	June 2021, Online	
	Presentation: Narrative Conservatism	
	2021 Canadian Academic Accounting Association Craft Workshop	
	June 2021, Online	
	Presentation: Shareholder Voting and Disclosure in M&As	
	European Accounting Association 2021 Virtual Meeting	
	Apr 2021, Online	
	Presentation: Narrative Conservatism	
	PRICIT Doctoral Workshop	
	Apr 2021, Online	
	Presentation: Narrative Conservatism	
	European Accounting Review 2020 Annual Conference	
	November 2020, Online	
	UT-Austin PhD Student Symposium	
	August 2020, Online	
	Statistical Programming and Open Science Methods	
	Oct 2019 and Feb 2020, Berlin, hosted by Humboldt-Universität zu Berlin	
	27th Finance Forum, the Annual Meeting of the AEFIN	

Jul 2019, Madrid, hosted by Universidad Carlos III de Madrid

XV International Research Symposium for Accounting Academics

Jun 2019, Madrid

XIV International Research Symposium for Accounting Academics

Jun 2018, Madrid

Working Papers

Narrative Conservatism

Juan Manuel García Lara, Beatriz García Osma, Fengzhi Zhu

We define narrative conservatism as narratives reflecting bad news in a timelier, more news-consistent, and complete manner than good news. Using a sample of 8-K filings from 1993 to 2020, we find that narrative disclosure is conservative. 8-Ks are filed faster, their tone is more news-consistent, and they contain more words, filings, items, exhibits, and graphs in response to bad news than to good news. We document higher (lower) narrative conservatism in voluntary 8-Ks and in settings where managers have more (less) incentives to disclose bad news. Our results suggest that narrative conservatism is a pervasive property of accounting narratives throughout the period studied. In addition, we find the presence of narrative conservatism in quarterly reports as well, especially within the MD&A section and for firms with low conditional conservatism.

Missing narratives: An Analysis of Biases in Sample Selection and Variable Choice in Textual Analysis Research

Andrea Bafundi, Beatriz García Osma, Encarna Guillamón-Saorín, Fengzhi Zhu

We examine plausible biases in textual analysis studies of 10-K documents. The study of financial narratives using automated procedures is a relatively novel development in accounting and finance. Therefore, standardized methods to collect and systematically analyze these data are yet to be developed. We provide detailed step-by-step guidance on how to download and prepare these files for analysis, and study the plausible biases introduced by a number of decisions regarding sample construction, data preparation, and variable choice. In particular, we focus on two widely studied properties of financial narratives: Tone and Readability. We document that a number of these choices introduce biases into the samples studied, as well as induce differences in average observed Tone and Readability. Our results also indicate that a non-trivial proportion of the Edgar database population is missing from the textual analyses being conducted.

Shareholder Voting and Disclosure in M&As

Duy Tan Do, Beatriz García Osma, Anna Toldrà-Simats, Fengzhi Zhu

We examine whether voting requirements in M&As induce disclosure, lowering information asymmetry. We find that acquirers subject to shareholder voting provide more 8-K disclosure during the transaction period, and are more likely to provide timely disclosure of the merger agreement, information on expected synergies and post-merger earnings forecasts. For acquirers subject to voting, we document that the association between disclosure and bid-ask spread is more negative than in other acquirers, and the association between disclosure and transient institutional sales is more positive. Lower bid-ask spread and higher transient institutional sales are associated with higher voting support and likelihood of deal completion. These results suggest that the induced disclosure is informative and it can affect voting outcomes through changing the deal valuation and the shareholder base. Evidence from falsification tests and a regression-discontinuity design supports the causal interpretation of the positive effect of shareholder voting on disclosure.

Honors and scholarships	European Accounting Association	
	2021 CAAA Annual Conference Grant	2020
	Universidad Carlos III de Madrid	
	Doctoral Training Scholarship	2019
	Research Master Scholarship	2017
Teaching experience	Undergraduate Exchange Program Grant	2015
	13174: Financial Accounting (UC3M)	Fall 2021
	17622: Principles of Accounting (UC3M)	Spring 2021
	13157: Introduction to Accounting (UC3M)	Spring 2020
	13157: Introducción a la Contabilidad (UC3M)	Spring 2019
Academic memberships	European Accounting Association	Nov 2020 – Present
	Canadian Academic Accounting Association	Jan 2021 – Present
	American Accounting Association	July 2021 – Present
Industry experience	Procter & Gamble	Madrid, Spain
	Finance and Accounting Intern	Jan 2017 – Aug 2017
Skills	Programming	
	Software: Stata, R, Matlab, LaTeX, Git, Microsoft Office Suite	
	Programming language: Python	
	Operating system: Windows, Linux	
	Languages	
	Mandarin, English, Spanish, Cantonese	